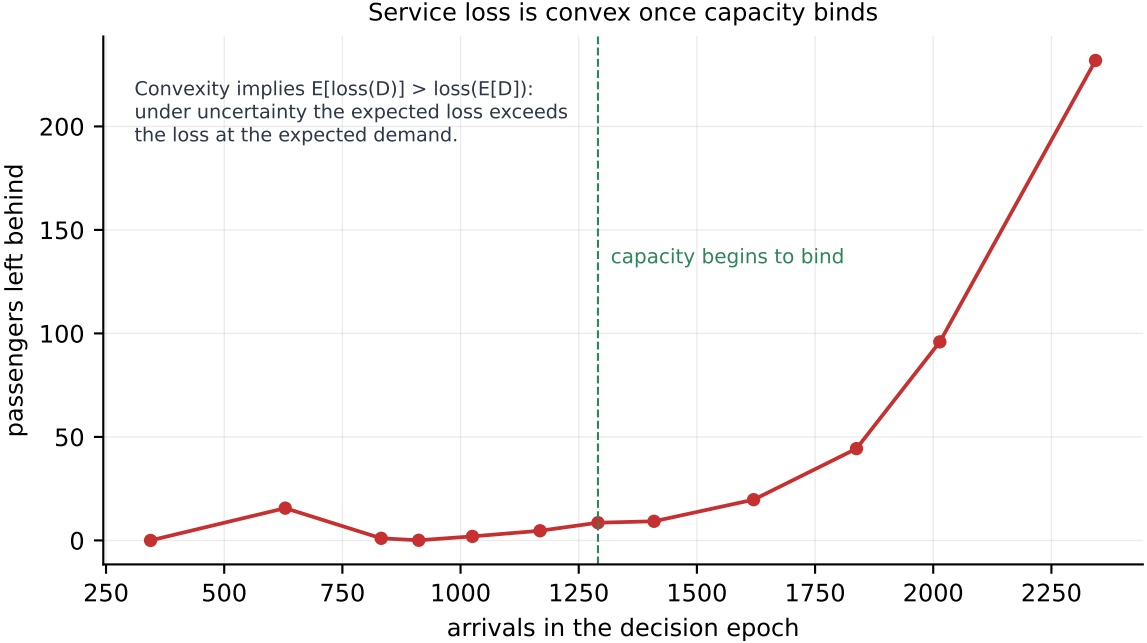
Service loss is convex once capacity binds
Convexity implies E[loss(D)] > loss(E[D]):
under uncertainty the expected loss exceeds
the loss at the expected demand.
capacity begins to bind
passengers left behind
0
50
100
150
200
250
500
750
1000
1250
1500
1750
2000
2250
arrivals in the decision epoch